

persuade the preferred-stock buyer into believing he has safeguards that are in fact nonexistent.⁷

Recommended Procedure in Such Cases. In the authors' view the proper procedure in cases such as the Maytag situation is perfectly clear. The preferred stockholders individually have no satisfactory means of going about the nomination and election of directors to represent them. This duty should devolve upon the issuing houses, and they should discharge it conscientiously. They should: (1) obtain a list of the preferred stockholders of record, (2) advise them of their new voting rights, and (3) recommend to them a slate of directors and request their proxies to vote for these nominees. The directors suggested should, of course, be as well qualified as possible for their posts. They must be free from any large interest in or close affiliation with the common stock, and it would be desirable if they were themselves substantial owners of preferred shares. (In the case of preferred stock issued pursuant to reorganization, there may be no issuing house to take the initiative, but this may be done by the same agencies formerly active in behalf of the security holders in the reorganization itself.)

It is quite possible, none the less, that the directors chosen by the preferred stockholders will be incompetent or for other reasons fail to represent their interests properly. But this is not a valid argument against the possession and the exercise of voting power by preferred stockholders. The same objection applies to voting rights of common stockholders—and of citizens. The remedy is not disenfranchisement but education. As we have previously pointed out, a combination of adequate voting-control provisions for preferred shares with their prompt and effective use could largely overcome the disadvantages inherent in the absence of an unqualified legal right to receive dividends. But until *both* these conditions are fulfilled, we must continue to stress the practical superiority for investors of the bond *form* over the preferred-stock form.

Maintenance of Adequate Junior Capital. We wish to call attention finally to a protective requirement for both bondholders and preferred stockholders which is technically of great importance but which fre-

⁷ It should be added that the dividends on Maytag \$6 Preferred were resumed in October 1933 and accumulations discharged in 1934.